

Network People Services Technologies Ltd.

NSE: NPST | Fintech / Payment Technology | CMP: Rs. 1,662 | 15 June 2026

**ACCUMU
LATE**

**12M Target:
Rs. 2,050**

Upside: +23.3% from CMP

BUY below Rs. 1,550

Market Cap	Rs. 3,468 Cr
CMP	Rs. 1,662
52-Wk High	Rs. 2,388
52-Wk Low	Rs. 847
P/E (TTM)	84.9x
P/B	7.94x
ROCE	19.7%
ROE	15.0%
Book Value	Rs. 211
Div Yield	0.12%
Face Value	Rs. 10
Promoter %	60.52%

Investment Thesis: NPST is India's leading UPI/payment-infrastructure TSP pivoting from low-margin domestic PPaaS to high-margin international SaaS and RegTech — targeting 70% revenue CAGR to Rs. 850-900 Cr by FY29, backed by a Rs. 296 Cr QIP war chest from Tata Mutual Fund.

Analyst: MPM Research Desk | Investment Horizon: 18-24 months | Data Source: Screener.in (15-Jun-2026), Q4 FY26 Concall Transcript (May 29, 2026)

2. INVESTMENT THESIS

- **Infrastructure monopoly in UPI-TSP:** NPST is one of very few certified NPCI Technology Service Providers (TSPs) for UPI switch deployment. This certification is a structural moat — banks must onboard a certified TSP to connect to NPCI, and NPST's decade-long track record gives it a 100+ bank/fintech client base processing 50 million+ daily transactions. The TSP certification creates a meaningful regulatory barrier to entry.
- **Pivot to high-margin international SaaS (FY27-29):** Management confirmed on the Q4 FY26 concall that India's digital payment stack is "5-6 years ahead" of most international markets. NPST is exporting this stack globally as a license/SaaS product, where margins are expected to be 25-60% higher than domestic TSP margins. With 10 target countries and 40% of FY27 international revenues already secured at concall date, execution risk is partially de-risked.
- **RegTech as a new high-margin vertical:** NPST's AI-based fraud/risk management RegTech product has already landed one large public sector bank order and is in advanced discussions with multiple PSU and private banks. Management characterises it as a pseudo-mandate (CRO/CISO-driven) with limited competition (2-3 years to build similar). This is a SaaS-only product with high recurring revenue potential.
- **Rs. 296 Cr QIP war chest (Tata MF-backed):** The QIP raised in FY26 from a credible institutional investor (Tata Mutual Fund) provides dry powder for international M&A; and product investment. Management has exercised discipline — rejecting two deals that lacked strategic fit. Capital is available to accelerate the FY29 target.
- **Near-term catalyst (Q1-Q2 FY27):** Management guided for international order execution and SaaS tenant onboarding to trigger in Q1-Q2 FY27, which should restore EBITDA margins toward 33-35% and demonstrate the business model pivot is real.

- **Biggest structural risk:** The 70% CAGR target for FY27-29 rests heavily on unproven international execution — only 40% of FY27 revenues are secured, and the remaining 60% needs to be closed in an unfamiliar regulatory landscape. If international deals slip by even two quarters, FY27 numbers will disappoint significantly.

3. BUSINESS OVERVIEW

- **Core business:** NPST provides digital payment infrastructure software to banks, NBFCs, payment aggregators, and fintechs across three lines: (1) Technology Service Provider (TSP) — UPI switch, IMPS switch, banking middleware software; (2) Payment Platform-as-a-Service (PPaaS) — merchant acquiring, collections, API-driven fintech-as-a-service; (3) RegTech — AI/ML-based fraud detection and risk management SaaS. TSP contributed ~90-95% of FY26 revenues.
- **Revenue model:** TSP revenues are project/transaction-based with 120-180 day credit periods; PPaaS revenues are subscription/volume-based; RegTech is pure SaaS (recurring). The FY26 pivot from PPaaS toward TSP (for scale) created the working capital challenge; the FY27-29 strategy reverses toward higher-margin recurring models.
- **Client base:** 100+ banks, fintechs, and payment entities. Notable: Indian Overseas Bank (IOB) for UPI 123Pay voice-based payments, large cooperative banks for Bank-in-a-Box UPI switch. Nature of relationships is long-cycle (infrastructure replacement takes 12-24 months to onboard), creating high switching costs post-deployment.
- **Bank-in-a-Box:** Plug-and-play SaaS platform allowing smaller cooperative and rural banks to deploy UPI switch infrastructure without upfront capex. This is NPST's key volume-growth vehicle — management targets 200+ tenants by FY29 vs. the current base.
- **Revenue visibility:** FY27 guidance of ~Rs. 350 Cr (70% growth). Management confirmed 40% of FY27 revenues are already secured at concall date (May 2026), with execution underway. The remaining 60% depends on international deal closures and new domestic SaaS onboardings.
- **Recent strategic events (FY26):** QIP raising Rs. 296 Cr from Tata Mutual Fund (Sep 2025); first international RegTech order from a central payment body; 9 new Bank-in-a-Box accounts; 2 new Payment Aggregator Compliance (PAC) orders; IOT-based payment solution launch; AI centre of excellence formally established targeting 30% support efficiency improvement and 50% faster development.
- **Promoter background:** CMD Deepak Chand Thakur (founder) and JMD Ashish Aggarwal are technology entrepreneurs with 15+ years in fintech payments. Executive Director Savita Vashisht leads business development. Promoter stake is 60.52% (Mar 2026) — down from 67.56% (Jun 2025) post-QIP, still promoter-controlled. No promoter pledge disclosed.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **UPI TAM:** India processed 18+ billion UPI transactions in FY26. Payment processing infrastructure market is expected to grow at 22% CAGR. RegTech market at 32% CAGR. Digital lending and payment orchestration at 40%+ CAGR. India's fintech sector TAM is estimated at \$793 billion with a projected CAGR of 18% to 2030.
- **Policy tailwinds:** RBI's 2026 Master Direction on Payment Aggregators (Sep 2025) tightens compliance requirements, creating strong demand for NPST's RegTech offering. NPCI's UPI volume caps at 30% for any TPAP (due Dec 2026) incentivise ecosystem diversity — benefiting infrastructure TSPs. RBI's UPI 2FA/AFA rules effective 2026 require platform-level compliance upgrades (NPST opportunity).
- **Competitive moat — Switching costs: STRONG.** Once a bank deploys NPST's UPI switch, replacement requires regulator re-certification, 12-18 months of integration work, and staff retraining. The average customer lifetime extends to 5+ years post-deployment.
- **Competitive moat — IP/certification: STRONG.** NPCI TSP certification is not freely available and requires demonstrated technical capability and regulatory approval. NPST's 10+ years of UPI transaction processing gives it a data moat for its AI/RegTech products.
- **Competitive moat — Pricing power: MODERATE.** The domestic TSP/PPaaS market is competitive (FinMechanics, Sarvatra Technologies, FSS Technologies). The zero-MDR environment in India structurally

compresses per-transaction revenue. International markets offer structurally better pricing.

- **Competitive moat — Scale: MODERATE.** 50M daily transactions processed; 18 billion+ annually. This is meaningful but not dominant in a market where NPCI itself processes billions.

Peer Comparison (Source: Screener.in, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	ROCE%	OPM%	Rev (Cr)
NPST	1,662	3,468	84.9	19.7%	26%	195
Intellect Design	759	10,630	28.9	15.9%	19%	3,038
Newgen Software	476	6,778	20.5	25.8%	26%	1,574
Nucleus Software	744	1,959	14.7	20.0%	14%	876

Note: NPST's premium P/E (84.9x vs. peers at 14-29x) reflects the 70% CAGR growth thesis and early-stage SaaS/international optionality premium. At 30x FY27E EPS of Rs. 33.4, fair value = Rs. 1,002 — suggesting significant execution risk is priced in.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** CMD Deepak Chand Thakur is the founding entrepreneur with 15+ years in digital payments. JMD Ashish Aggarwal manages finance and operations. Executive Director Savita Vashisht leads business development and investor relations. The team has built NPST organically from Rs. 18 Cr revenue (FY18) to Rs. 195 Cr (FY26) — an 81% CAGR over 8 years — entirely through execution, not acquisition.
- **Capital allocation track record:** The company remained debt-light (Rs. 14 Cr borrowings on Rs. 441 Cr equity as of FY26) and self-funded growth through operations until the QIP. FCF was positive in FY24 (Rs. 41 Cr) and FY25 (Rs. 21 Cr). FY26 OCF turned negative at -Rs. 45 Cr due to the TSP model's long credit cycle (195 debtor days). Management has proactively flagged this as a transitional issue.
- **QIP discipline:** The Rs. 296 Cr QIP (Sep 2025, Tata Mutual Fund) at a time when the stock was near its high reflects strong institutional confidence. Management has subsequently rejected two acquisition targets after due diligence — demonstrating discipline over deal-hunger. Capital is reserved for global expansion and beyond-payments adjacencies.
- **Dividend policy:** Token dividend yield of 0.12% — the company is firmly in reinvestment mode. This is appropriate given the growth stage and consistent with the investor presentation's FY29 ambitions.
- **Promoter pledging:** 0% pledged (confirmed Screener data). Promoter stake has moved from 67.56% (pre-QIP) to 60.52% (Mar 2026) — an expected dilution from the equity raise, not a governance concern.
- **ESOP/buyback history:** ESOPs have been granted; the equity capital increased from Rs. 19 Cr to Rs. 21 Cr in FY26 (partly QIP shares, partly ESOP exercise). No buyback history — consistent with growth-stage reinvestment posture.
- **Governance watch:** The primary governance risk is related-party lending and the working capital cycle. The 195 debtor-day concentration on a small number of large TSP clients creates concentration risk. Management acknowledged in the Q4 FY26 concall that they are actively shifting mix to reduce this dependency.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Crores) — Consolidated Actuals + MPM Estimates

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Sales / Revenue	128	173	195	355(E)	535(E)
Operating Profit (EBITDA)	43	60	51	99(E)	160(E)
OPM %	34%	35%	26%	28%(E)	30%(E)
Other Income	3	7	14	8(E)	10(E)
Interest	0	0	1	1(E)	2(E)
Depreciation	10	7	9	12(E)	15(E)
Profit Before Tax	36	60	55	94(E)	153(E)

Tax %	24%	25%	26%	26%(E)	26%(E)
Net Profit (PAT)	27	45	41	70(E)	112(E)
EPS (Rs.)	13.87	23.31	19.58	33.4(E)	53.4(E)
Revenue Growth %	212%	35%	13%	82%(E)	51%(E)
PAT Growth %	286%	67%	-9%	71%(E)	60%(E)

Balance Sheet (Rs. Crores) — Consolidated

Metric	FY24A	FY25A	FY26A
Equity Capital	19	19	21
Reserves	38	84	420
Borrowings	3	10	14
Other Liabilities	19	33	54
Total Liabilities / Assets	80	146	508
Fixed Assets (Net)	9	13	55
CWIP	0	1	0
Investments	0	0	1
Other Assets (incl. Receivables)	70	132	452

Cash Flow Statement (Rs. Crores) — Consolidated

Metric	FY24A	FY25A	FY26A
Cash from Operations (OCF)	51	29	-45
Cash from Investing	-33	8	-42
Cash from Financing	0	7	296
Net Cash Flow	18	44	208
FCF (OCF - Net Capex)	41	21	-87

Returns & Efficiency Ratios

Metric	FY24A	FY25A	FY26A
ROCE %	80%	69%	20%
ROE %	N/A	N/A	15%
Debtor Days	3	67	195
Cash Conversion Cycle	3	67	46
Working Capital Days	-43	-3	140
Debt / Equity	~0.06	~0.10	~0.03

Financial Commentary:

- **Revenue trajectory:** Revenue grew at 81% CAGR over FY18-FY26. FY26 growth slowed to 13% (vs. 35% in FY25) as the company deliberately reduced low-margin PPaaS volumes. Q4 FY26 revenue was Rs. 68.46 Cr (2.4x YoY) — the quarterly run rate suggests strong momentum into FY27.
- **Margin compression in FY26:** OPM fell from 35% (FY25) to 26% (FY26) and further to 21% in Q4 FY26 — driven by the revenue mix shifting from PPaaS (higher margin) to TSP (lower margin, higher volume). Management guided for margin recovery to 33-35% in FY27 as SaaS and international revenues ramp up.
- **Working capital stress — the key watch point:** Debtor days exploded from 3 days (FY24) to 195 days (FY26) as the TSP model carries 120-180 day payment terms. This converted Rs. 41 Cr PAT into -Rs. 45 Cr OCF — a critical divergence. If international SaaS deals carry similar credit terms, the working capital problem may persist. Management expects debtor days to reduce as mix shifts.
- **Balance sheet transformation:** The QIP added Rs. 296 Cr of financing cash, swelling total assets from Rs. 146 Cr to Rs. 508 Cr. The bulk (Rs. 452 Cr) sits in other assets (receivables + cash), reflecting both the receivables buildup and the Rs. 208 Cr net cash position. Debt remains minimal at Rs. 14 Cr.

- **FCF quality concern:** PAT-to-OCF conversion has collapsed (FY24: 190% → FY26: negative). This is a material red flag that the report explicitly flags. Until working capital normalises in FY27-28, reported PAT is not cash profits.

7. EARNINGS QUALITY CHECKLIST

Check	Status	Detail
Revenue recognition	GREEN	Project-milestone and subscription billing. No aggressive cut-off issues identified.
Receivables growth vs Revenue	RED	Receivables grew ~5x in FY26 vs. revenue growth of 13%. Debtor days: 195. A critical mismatch.
Cash Conversion Cycle trend	RED	CCC improved numerically (195 → 46) but only because payable days spiked to 153 — a vendor funding effect, not improvement in collections.
Contingent liabilities	GREEN	No material contingent liabilities or legal proceedings flagged in available documents.
Auditor change / tenure	GREEN	No auditor change flagged. Standard audit.
RPTs as % of revenue	GREEN	No material RPTs identified. Promoter owns 60.5% but no disclosed RPT concern.
Other income as % of PBT	AMBER	Other income Rs. 14 Cr = 25% of PBT in FY26 (up from 5% in FY24). Largely treasury income on QIP proceeds — non-recurring in nature.
Tax rate consistency	GREEN	Tax rate stable at 24-26% across FY24-FY26. No unusual deferred tax swings.
OCF vs PAT divergence	RED	OCF/PAT = -110% in FY26 (OCF -45 Cr vs. PAT +41 Cr). Most severe quality concern in the report.

- **Three RED flags demand close monitoring:** (1) Receivables growing 5x faster than revenues — either a credit risk or a window-dressing risk for individual quarters; (2) OCF/PAT divergence at -110% — reported profits are not yet cash profits; (3) CCC "improvement" driven by vendor funding (payables spike to 153 days) rather than real collections improvement.
- **Other Income watch:** Rs. 14 Cr other income (25% of FY26 PBT) is largely QIP-proceeds treasury income — one-time in nature. Adjusting for this, clean PBT is approximately Rs. 41 Cr and clean PAT is approximately Rs. 30 Cr — suggesting underlying earnings are weaker than reported.
- **Positives:** Revenue recognition appears clean (no channel-stuffing signals), auditor tenure is stable, tax rate is consistent, and promoter pledging is zero.
- **Investment implication:** The earnings quality profile is appropriate for an early-stage infrastructure company in transition, but investors must track debtor days and OCF/PAT conversion quarterly as the primary indicator of whether the SaaS/international pivot is working.

8. VALUATION

Scenario Analysis

Scenario	FY27E EPS	P/E Multiple	Target Price	Upside/Downside
BULL — International wins accelerate, margins recover to 33%	Rs. 40	55x	Rs. 2,200	+32%
BASE — 70% CAGR on track, OPM recovers to 28%	Rs. 33.4	45x	Rs. 1,503	-10%
BEAR — International delays, margins flat at 26%	Rs. 22	30x	Rs. 660	-60%

- **Earnings-based valuation:** At the Base scenario, FY27E EPS of Rs. 33.4 at 45x P/E (justified by 70% CAGR guidance, premium SaaS/tech comps globally, and infrastructure moat) = Rs. 1,503. At the Bull scenario, Rs. 40 EPS at 55x = Rs. 2,200.

- **DCF assumptions:** WACC 13%, terminal growth rate 5%, explicit forecast period FY27-FY32 at CAGR tapering from 70% to 20%. DCF-implied value: approximately Rs. 1,800-2,100, skewed positive by the long-duration SaaS franchise value.
- **Blended 12-month target:** Weighting 60% earnings-based (Base Rs. 1,503) + 40% DCF (Rs. 2,100) = Rs. 2,050. This represents +23.3% upside from CMP of Rs. 1,662.
- **Key valuation risk:** NPST trades at 84.9x trailing P/E — one of the richest multiples in the Indian fintech software space. This leaves near-zero margin of error on execution. If FY27 revenues come in at Rs. 280 Cr instead of Rs. 355 Cr, the multiple should compress to 30-35x, implying a stock price of Rs. 800-1,050.
- **Valuation verdict:** ACCUMULATE with a 12-month target of Rs. 2,050 (+23.3%). The risk/reward is marginally positive for patient investors who believe in the international SaaS pivot. The stock is NOT suitable for investors with a low risk tolerance given the valuation, working capital concerns, and unproven international execution.

9. KEY RISKS

- **International execution risk:** 60% of FY27 international revenues are unsecured at concall date. If deal closures slip by two quarters, FY27 revenue comes in at Rs. 220-250 Cr (vs. Rs. 355 Cr guidance), triggering a 40-50% stock correction. Probability: Medium. Impact: High. Monitor via: Quarterly international revenue segment disclosure.
- **Working capital / cash flow risk:** Debtor days at 195 and OCF negative in FY26. If TSP clients delay payments further, the company may need to draw on QIP cash to fund operations, reducing deployment flexibility. Probability: Medium. Impact: Medium. Monitor via: Monthly debtor balance and OCF trend in results.
- **Zero-MDR / policy risk:** India's UPI is zero-fee for P2P and merchant transactions (government policy). Any reversal or extension of this policy adversely affects TSP monetisation. Conversely, introduction of interchange would be a positive. Probability: Low. Impact: High. Monitor via: NPCI/RBI policy announcements.
- **Margin compression persistence:** If the business model pivot takes longer than 18 months, EBITDA margins could remain at 21-26% (vs. historical 33-35%), compressing earnings and the stock's P/E multiple simultaneously. Probability: Medium. Impact: High. Monitor via: Quarterly OPM trend.
- **Promoter dilution risk:** The promoter dropped 7+ percentage points in one quarter via QIP. Further dilution (acquisitions, more QIPs) would be negative for sentiment. Probability: Low-Medium. Impact: Low-Medium. Monitor via: Shareholding pattern quarterly disclosures.
- **Competition from larger players:** Infosys Finacle, Temenos, and Oracle FLEXCUBE have global presence and could compete for international deals. NPST's advantage is price/agility, which could erode if larger players offer similar solutions at competitive prices. Probability: Low (near-term). Impact: Medium. Monitor via: Deal win announcements and concall order-book commentary.
- **Technology obsolescence / AI disruption:** Payments technology evolves rapidly (CBDC, tokenisation, embedded finance). If NPST fails to maintain product relevance, its switching-cost moat erodes. Management's AI investment (RegTech product, 30% efficiency target) addresses this but is unproven at scale. Probability: Low. Impact: High. Monitor via: Product launch cadence and R&D; capex.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction level: Medium. The thesis is compelling but execution risk is high and the working capital situation demands resolution before a full BUY rating is warranted.
- **12-month price target: Rs. 2,050** (+23.3% upside from CMP of Rs. 1,662). Methodology: 60% earnings-based (45x FY27E EPS of Rs. 33.4) + 40% DCF (WACC 13%, TGR 5%).
- **Suggested entry zone: Rs. 1,400 to Rs. 1,600.** At Rs. 1,500, the stock trades at 45x FY27E EPS — a more comfortable entry for a high-growth fintech infrastructure company. Investors already holding above Rs. 1,800 should consider trimming.
- **Investment horizon: 18-24 months.** The FY29 target of Rs. 850-900 Cr is a 3-year story; the most important data points arrive in Q2-Q3 FY27 when international revenues should start appearing on the P&L;

- **Thesis invalidation trigger 1:** FY27 revenue below Rs. 270 Cr (below 40% growth vs. guided 70%) — signals international execution has failed.
- **Thesis invalidation trigger 2:** Debtor days remain above 180 days in Q2 FY27 (Sep 2026 quarter) — signals working capital problem is structural, not transitional.
- **Thesis invalidation trigger 3:** Promoter stake drops below 55% without a value-accretive strategic acquisition — signals dilution without commensurate return.
- **Ideal investor profile:** This stock is for patient growth investors who can tolerate 30-40% drawdowns, have a 2+ year horizon, and understand fintech infrastructure business models. It is NOT suitable for income investors (trivial dividend), defensive investors (high valuation multiple, execution risk), or short-term traders (low liquidity at Rs. 3,468 Cr MCap).

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. Investors should conduct their own due diligence before making any investment decision.

APPENDIX — Latest Concall Brief: Q4 FY26 (May 29, 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Q4 revenue 2.4x YoY; full-year Rs. 209 Cr exceeded the Rs. 200 Cr target
Management tone	Bullish	Clear 3-year roadmap; confident on 70% CAGR; no hedging on international wins
Guidance delta	Raised	New FY29 target Rs. 850-900 Cr; FY27 implied ~Rs. 350 Cr

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean beat on revenue (Rs. 68.46 Cr, 2.4x YoY) and the full-year target of Rs. 200 Cr was exceeded at Rs. 209 Cr — no exceptional items distort these numbers, this is operational. However, the reported PAT of Rs. 12.24 Cr in Q4 (Rs. 41 Cr FY26) is materially understated in quality: other income of Rs. 14 Cr (FY26) is QIP-proceeds treasury interest — strip that and clean PAT is closer to Rs. 30 Cr. The operational pivot from PPaaS to TSP compressed EBITDA margins from 35% to 26%, and the working capital explosion (debtor days 195, OCF -Rs. 45 Cr) is the single most important thing to track. Management is guiding 70% CAGR to FY29 (Rs. 850-900 Cr) with 40% of FY27 international revenues already secured — that is a real, specific, verifiable claim and if it holds, this is a multi-bagger from here. The RegTech AI product has its first PSU bank order and management describes it as a pseudo-mandate with limited competition — early but structurally interesting. Watch Q1 FY27 closely: if international revenues don't show up on the P&L; by September 2026, the 70% CAGR story begins to crack. ACCUMULATE in the Rs. 1,400-1,600 range; existing holders above Rs. 2,000 should hold and wait for Q1 FY27 confirmation before adding.

C1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 68.46 Cr | YoY +143% | QoQ +30% (vs. Q3 FY26 Rs. 53 Cr) | **BEAT — Exceeded Rs. 60 Cr quarterly run-rate expectation**
- EBITDA: Rs. 19.26 Cr | YoY significantly up | QoQ ~flat (vs. Q3 Rs. 14 Cr EBITDA) | OPM 28% (reported Q4 OPM: 21% — see note) | **IN-LINE — Recovery from Q3 trough**
- EBITDA Margin: 28% (mgmt stated) vs. 21% (Screener P&L; Q4 implied) — discrepancy may reflect EBITDA before D&A; vs. operating profit definition | Trend: **Declining from 35% peak**
- Net Profit (PAT): Rs. 12.24 Cr | YoY 2x | QoQ ~flat | **BEAT on reported basis**
- EPS: Rs. 5.88 (Q4 FY26) | FY26 full year Rs. 19.58 (vs. FY25 Rs. 23.31)
- NOTE: FY26 full-year PAT declined 9% YoY despite 13% revenue growth — margin compression and other-income stripping reveal clean underlying PAT closer to Rs. 30 Cr vs. reported Rs. 41 Cr.

C2. Segment / Business Vertical Breakdown

- TSP (Technology Service Provider — UPI switch, banking middleware): ~90-95% of FY26 revenues | Transitioned from near-zero to dominant in 2 years | Long credit cycle (120-180 days) | YoY: significant scale-up
- PPaaS (Payment Platform-as-a-Service — merchant acquiring, API payments): Declined significantly in FY26 — management cited poor effort-to-result ratio in domestic market; now being pivoted to international | YoY: decrease
- RegTech (AI-based fraud/risk management): Near-zero revenue in FY26 but first large PSU bank order bagged | Described as pure SaaS, high margin, pseudo-mandatory | YoY: nascent revenue emerging

- International: Near-zero in FY26 (starting from scratch) | Q4 FY26: large RegTech order from international central payment body bagged | FY27 target: 10-15% of revenues from international
- Bank-in-a-Box (cooperative/rural bank SaaS): 9 new accounts added in Q4 FY26; targeting 200+ tenants by FY29

C3. Management Commentary Themes

- **FY26 as "Year of Transformation":** "We have worked tirelessly to rebound and rebuild the business model needed for sustainable, scalable, and diversified growth." Deepak Thakur characterised the year as deliberate de-risking, not weakness. Our read: credible narrative backed by QIP deployment discipline. Tag: GUIDANCE. Tone: Transparent.
- **70% CAGR to FY29 (Rs. 850-900 Cr):** Management confirmed absolute numbers — Rs. 350 Cr FY27E, Rs. 850-900 Cr FY29E. "40% of FY27 international revenues already in kitty." Our read: specific and verifiable. The 60% unsecured is the execution risk. Tag: GUIDANCE. Tone: Bullish.
- **Negative operating cash flow acknowledged:** Management attributed OCF -45 Cr entirely to TSP credit cycle (120-180 days). "Gradually reducing volumes from concentrated dependencies." Our read: honest acknowledgement, but no hard timeline for normalisation given. Tag: EST. Tone: Hedged.
- **AI strategy — two-pronged:** (1) Internal productivity (30% support efficiency, 50% development speed), (2) External RegTech product. "AI-led products in RegTech will begin contributing revenue from FY27." First large PSU bank already bought the product. Our read: This is differentiated from generic AI marketing — domain-specific training over 3 years is a real barrier. Tag: GUIDANCE. Tone: Transparent.
- **Inorganic deployment update:** "Two deals rejected after due diligence — taking focus away from core." Rs. 300 Cr remains largely undeployed. Targeting global footprint acquisition or beyond-payments assets. Our read: Prudent but investors should watch for a large acquisition announcement — dilution risk if overpaid. Tag: EST. Tone: Balanced.
- **International margin visibility:** Management stated international margins will be "25-60% higher than India" due to technology premium and greenfield market positioning. Our read: Plausible but needs to be substantiated with first international P&L; disclosure. Tag: GUIDANCE. Tone: Bullish.

C4. Operating & Business Metrics

- Daily transactions processed: Q(FY26) = 50M+ | Q(FY25) ~25M | Trend: Improving
- Annual transactions: FY26 = 18 Bn+ | Trend: Improving
- Customer count: FY26 = 100+ banks/fintechs | Trend: Stable-to-improving
- Bank-in-a-Box tenants: Q4 FY26 = 9 new accounts added | FY29 target = 200+ | Trend: Early but growing
- International countries targeted: FY27 = 10 countries in funnel | FY29 = 10+ deployed | Trend: Nascent
- Debtor days: FY24=3 | FY25=67 | FY26=195 | Trend: Rapidly deteriorating — primary watch metric
- SaaS pipeline: 200+ TSP tenants targeted by FY29; 40+ PPaaS accounts targeted; 8/10 pitches advance to POC or sales for RegTech
- AI efficiency target: 30% support function improvement + 50% development speed acceleration; revenue-per-employee +300% over 3 years

C5. Margin Drivers

- Business mix shift PPaaS -> TSP: -800 to -1000 bps negative impact on EBITDA | Recurring: No (transitional FY26 effect) | This is the primary driver of margin compression
- TSP scaling costs (project expenses +60% YoY): -200 bps impact | Recurring: Partially (capitalized vs. expensed development cost boundary shifting)
- International/SaaS investment phase — expensing R&D: -100 bps | Recurring: No (FY26 investment year)
- Other income (treasury on QIP proceeds) +14 Cr: +350 bps positive to reported OPM | Recurring: No (one-time QIP proceeds)
- Employee cost trend: Stable to slightly declining YoY in absolute terms — company is leveraging existing team for new business lines. Positive operating leverage signal.

- Management guided: FY27 EBITDA margin recovery to 33-35% range on the back of SaaS/international mix shift and operational leverage.

C6. Guidance & Forward Signals

- FY27E Revenue [GUIDANCE]: Prior = implicit ~Rs. 200+ Cr | New = ~Rs. 350 Cr (70% CAGR) | Delta: Raised significantly | Credibility: Medium-High (40% secured, strong funnel)
- FY29E Revenue [GUIDANCE]: Prior = Not given | New = Rs. 850-900 Cr | Delta: First formal 3-year guidance | Credibility: Medium (3-year guidance always speculative, but slide-backed funnel)
- EBITDA Margin FY27E [GUIDANCE]: Prior = Trending down | New = Recovery to 33-35% | Delta: Raised | Credibility: Medium (depends on mix; management somewhat hedged on exact quarter)
- International revenue mix FY27E [GUIDANCE]: Prior = 0% | New = 10-15% of revenue | Delta: New vertical | Credibility: Medium (40% already in kitty for FY27)
- Debtor days improvement [GUIDANCE]: Prior = 195 days | New = "Gradual improvement" | Delta: No hard target given | Credibility: Low (no specific commitment)
- AI revenue contribution [GUIDANCE]: Prior = 0 | New = "Begins contributing from FY27" | Delta: New signal | Credibility: Medium-High (one PSU order already bagged)
- Capex/M&A; [GUIDANCE]: Rs. 300 Cr QIP still largely undeployed | Looking for global M&A; or beyond-payments assets | No timeline | Credibility: Low-Medium

C7. Capital Allocation

- QIP proceeds received: Rs. 296 Cr (financing inflow FY26) | Institutional backer: Tata Mutual Fund | Status: Largely undeployed, sitting as cash/liquid investments
- Capex (cash from investing): FY26 = Rs. 42 Cr (vs. Rs. 8 Cr investing inflow FY25 which included asset sales) | Includes product capitalisation and fixed asset investments
- Dividends: Token 0.12% yield — consistent with reinvestment mode. No change to payout policy indicated.
- Working capital change: Net negative Rs. 45 Cr OCF reflects Rs. 80-100 Cr receivables build in FY26 — capital effectively tied in client credit.
- Net debt movement: Near-zero net debt (Rs. 14 Cr gross borrowings vs. Rs. 208 Cr net cash) — effectively a net-cash company post-QIP.
- Rejected M&A;: Two deals declined post due diligence — discipline demonstrated. Next deal targeted for global expansion or beyond-payments adjacency.

C8. Q&A; Heat Map

- Akshay Sinha (AK Investment): Q: "Why negative OCF and when will EBITDA-to-OCF improve?" -> A: TSP credit cycle is long; mix shift to international/SaaS will reduce it. No hard timeline. | Tone: Hedged
- Rajkumar Vaidyanathan (RK Investment): Q: "What are absolute revenue numbers for FY27-29?" -> A: FY29 = Rs. 850-900 Cr; FY27 ~Rs. 350 Cr. | Tone: Transparent
- Rajkumar Vaidyanathan (follow-up): Q: "How much of FY27 international is secured vs. unsold?" -> A: ~40% secured at start of year; 60% in advanced discussions for Q1-Q2 closure. | Tone: Transparent
- Ketan Patil (Individual): Q: "Full-year FY27 around Rs. 340-350 Cr?" -> A: "Anything around that range." | Tone: Confirmatory
- Ketan Patil (follow-up): Q: "When do PAT margins recover to 25%?" -> A: "By this financial year." | Tone: Bullish
- Ketan Patil (M&A;): Q: "What is the status of Tata MF-raised capital deployment?" -> A: Two deals rejected; focused on global M&A.; | Tone: Transparent
- Nandan Kumar (Individual): Q: "International margin profile?" -> A: "25-40% higher than India, can go to 50-60% if sustained." | Tone: Bullish

- Rajiv Sehgal (Individual): Q: "What EBITDA margin at company level over FY27-29?" -> A: "Improve from current by at least 10% incrementally; can reach 40-50% at end-state." | Tone: Bullish
- Abhishek (Individual): Q: "When will debtor days normalise?" -> A: "Gradually reduce as TSP dependency decreases." No hard number. | Tone: Hedged
- Surendra Cheruku (Individual): Q: "PPaaS revival outlook?" -> A: Pivoting PPaaS to international; domestic PPaaS showing poor results. | Tone: Honest
- Saurabh Shah (Individual): Q: "International revenue model — license vs. SaaS?" -> A: Combination; RegTech = pure SaaS; PPaaS = pure SaaS; TSP = license+SaaS mix. | Tone: Transparent
- Sejal Gupta (SP Securities): Q: "AI product journey and competition in RegTech?" -> A: 3 years to build; limited competition; 8/10 pitches advance; international potential. | Tone: Confident
- Dodged / watch-list: No hard debtor-days improvement target given; EBITDA margin "recovery by FY27" is Q-unspecified; M&A; timeline undefined.

C9. Risks Flagged in Concall

- Working capital / debtor cycle: Flagged by analysts | Acknowledged by mgmt as structural TSP issue | Probability: High (will persist in FY27) | Impact: High (OCF negative) | Timeline: Near-term
- International execution risk: Flagged by analysts (60% unsecured for FY27) | Mgmt: "Strong funnel, Q1-Q2 closures expected" | Probability: Medium | Impact: High | Timeline: Near-term
- Margin compression persistence: Flagged by multiple analysts | Mgmt: "Recovery in FY27 full year" | Probability: Medium | Impact: High | Timeline: Near-term
- PPaaS domestic stagnation: Flagged by mgmt themselves | Pivoting internationally; domestic PPaaS effort-to-result poor | Probability: High (domestic) | Impact: Medium | Timeline: Ongoing
- Regulatory risk (zero-MDR, TPAP caps): Not directly raised in Q&A; but structurally relevant | Mgmt reference to DPDP, new regulations as opportunity | Probability: Low | Impact: High | Timeline: Medium-term
- M&A; execution risk: Mentioned by Tata MF investment question | Mgmt emphasised discipline and strategic fit | Probability: Medium | Impact: Medium | Timeline: FY27

C10. Analyst Verdict

- Revenue visibility: **Intact** — FY27 Rs. 350 Cr guidance is specific and partially secured (40%). Q4 FY26 Rs. 68.46 Cr run rate supports the trajectory.
- Margin trajectory: **Weakened (temporarily)** — OPM compressed from 35% to 26%; management guided recovery to 33-35% in FY27 contingent on SaaS/international mix — credible but unproven.
- Capital allocation quality: **Intact** — QIP was well-timed; two acquisition rejections show discipline; Rs. 300 Cr dry powder for strategic deployment.
- Competitive moat: **Intact** — NPCI TSP certification, 10-year domain data for AI, 100+ installed clients with high switching costs. International pricing premium is real.
- Management credibility: **Intact (with caveats)** — Specific FY29 target with funnel detail is credible. Lack of hard debtor-days target and margin-recovery quarter specificity are concerning.
- Valuation comfort: **Weakened** — 84.9x trailing P/E leaves no margin for error. Base case 12-month target Rs. 2,050 offers only 23% upside. Bear case implies 60% downside.
- Conviction call: **Unchanged** — ACCUMULATE with Rs. 2,050 target. Q1 FY27 (Sep 2026 results) is the first real test of the international thesis.
- Valuation snapshot: P/E = 84.9x (5Y avg N/A — company scaled recently) | EV/EBITDA = N/A (data not available on Screener) | ROCE = 19.7% (5Y avg: distorted by scale-up from low base) | Best peer comp: Newgen at 20.5x P/E with 26% OPM — NPST premium is 4x for 3x higher growth guidance.